

SETSING ESCROW STOCK BOOSTING PROGRAM

TERMS AND CONDITIONS OF PARTICIPATION

(Last Updated: [01/09/2025])

1. DEFINITIONS & INTERPRETATION

1.1 Key Terms

- **"Booster"**: Any individual participating in the Program by providing funds.
- **"Partner Business"**: Verified local business receiving boosts.
- **"Boost Amount"**: Funds transferred to Setsing Escrow for the Program.
- **"Payout Date"**: Same calendar date monthly (e.g., Boost on 5th → Paid on 5th).

1.2 Program Overview

The Program facilitates community-funded business growth through structured capital deployment, where Boosters receive fixed monthly returns and guaranteed capital repayment after 3 months.

2. PROGRAM RULES

2.1 Eligibility

- **For Boosters:**
 - Must be 18+ years.
 - South African bank account required.
- **For Partner Businesses:**
 - CIPC registration certificate.
 - 3+ months of audited bank statements showing profitability.
 - Physical business address in QwaQwa.

2.2 Boost Amounts

- **Minimum:** R1,000 (no maximum).
- **Tiered Returns:**

Boost Range (ZAR)	Monthly Return Rate	Effective Annual Return
1,000 – 5,000	25%	100%
5,001 – 10,000	30%	120%
10,001+	35%	140%

2.3 Capital Lock-In Period

- **90-day minimum commitment.**
 - **No partial withdrawals** permitted.
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3. PAYOUT STRUCTURE

3.1 Monthly Returns

- Calculated as:
$$\text{Monthly Payout} = (\text{Boost Amount} \times \text{Monthly Rate}) / 3$$
- **Example:** R10,000 boost → R3,500/month for 3 months + R10,000 returned.

3.2 Final Capital Repayment

- Returned in full on the final Payout Date.
- Paid via original funding method (EFT/Cash).

3.3 Setsing Guarantee

- If a Partner Business defaults:
 - Setsing covers unpaid amounts within **48 hours**.
 - Defaulting business blacklisted and reported to credit bureaus.
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4. EARLY WITHDRAWAL PENALTIES

4.1 Fee Schedule

Withdrawal Period	Penalty Fee
Days 1-30	20% of Boost Amount
Days 31-60	10% of Boost Amount
Days 61-89	5% of Boost Amount

4.2 Process

- Submit written request via Setsing App.
 - Penalty deducted from capital before repayment.
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5. RISK DISCLOSURES

5.1 Business Performance Risks

- Returns depend on Partner Business revenue.
- Setsing conducts due diligence but **does not guarantee profitability**.

5.2 Force Majeure

- Covers:
 - Natural disasters.
 - Government sanctions.
 - Civil unrest.
 - Payouts may be delayed with written notice.
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6. DISPUTE RESOLUTION

6.1 Mediation Process

1. Booster submits complaint via [Setsing Escrow].
2. Setsing investigates within **7 business days**.
3. If unresolved, escalated to **FSCA ombudsman**.

6.2 Liability Cap

- Setsing's maximum liability = Boost Amount + agreed returns.
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7. TAX COMPLIANCE

7.1 Booster Obligations

- Returns subject to **income tax**.
- Setsing issues **IT3(b) certificates** annually.

7.2 Business Taxes

- Partner Businesses must disclose boosts as **liabilities**.
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8. PROGRAM TERMINATION

8.1 By Setsing

- May terminate with **30 days' notice**.
- All active boosts honored until maturity.

8.2 By Booster

- No termination permitted mid-boost (except via early withdrawal penalties).
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9. GENERAL PROVISIONS

9.1 Amendments

- Terms updated with **14 days' notice** via email/app.

9.2 Governing Law

- Interpreted under **South African law**.
 - Disputes settled in **QwaQwa Magistrate's Court**.
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10. ACCEPTANCE

By participating, Boosters acknowledge:

- ☒ Understanding of all risks.
- ☒ Acceptance of penalty fees.
- ☒ Consent to tax reporting.